

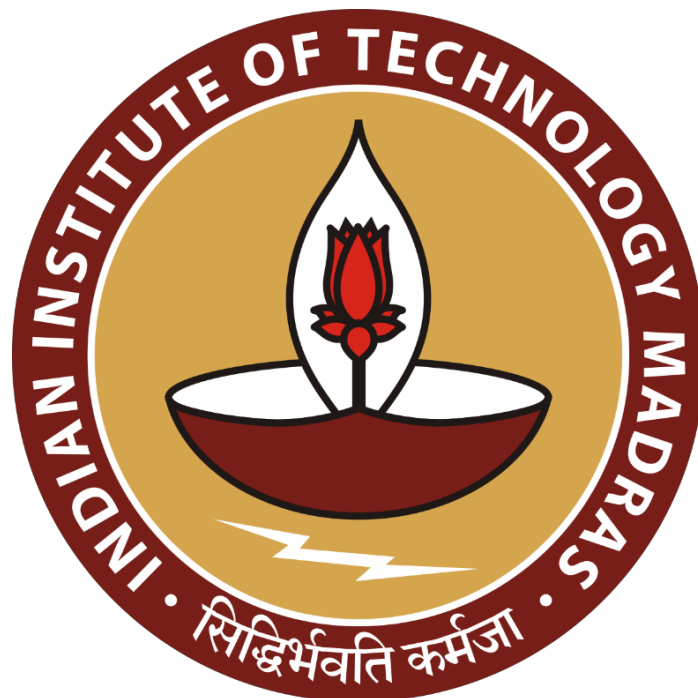
**ENHANCING OPERATIONAL EFFICIENCY AND PROFITABILITY
THROUGH
RELIABLE SUPPLY SOLUTIONS FOR GOVERNMENT AND
PRIVATE ENTITIES**

Final report for the BDM Capstone Project

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1. Executive Summary

The final phase of this project explores the operational and financial challenges faced by Rakhi Innovative Venture, a B2B supplier catering primarily to government and private sector clients. The study focused on three core problem areas: supply chain management inefficiencies, market competition challenges, and cash flow difficulties. Data was collected through field visits, Tally software exports, and manual business registers, covering the period from April 2022 to March 2025.

Using Excel tools like pivot tables were used to organize sales, stock, and client data, while stacked bar charts, line graphs, and pie charts visualized monthly trends, category performance, and revenue fluctuations., ABC analysis, ETS-based statistical forecasting with confidence intervals were employed to predict future sales and revenue flow, and graphical analysis, the project examined trends in sales, purchases, stock movement, customer segmentation, and profitability. Qualitative insights from informal interviews with the business owners added real-world context to the data.

Key findings include an over-reliance on a few fast-moving items, delayed government payments, and volatility in sales and revenue due to irregular bulk orders. The business also showed limited product diversification and dependency on a small number of high-value clients. Peak revenue months like June and March were often followed by sharp drops, straining liquidity. Cash flow was further impacted by delayed receivables from government institutions.

To address these issues, the project recommends simple inventory controls, preparing demand-based procurement calendars, expanding into underperforming categories, and actively leveraging the GeM portal for more government tenders. For cash flow stabilization, the use of forecast-based planning, maintaining a reserve fund, and aligning receivables and payables are emphasized.

Overall, the project provides Rakhi Innovative Venture with a data-backed roadmap to improve supply reliability, financial stability, and market positioning.

2. Detailed Explanation of Analysis Process/Method

In this final phase, we delve deeper into the analysis of business operations, including sales performance, procurement behavior, cash flow irregularities, and inventory management for Rakhi Innovative Venture. The goal is to provide a comprehensive understanding of operational challenges and propose actionable solutions to enhance efficiency, customer satisfaction, and profitability. A data-driven methodology was employed, integrating descriptive statistics, time-series trends, and categorical insights to address the firm's major concerns supply chain inefficiencies, cash flow gaps, and market competitiveness.

Data Collection and Preparation

Data for this study was collected during two field visits conducted from January 25–30 and April 1–5, 2025. The primary sources of data included exports from Tally software and manual entries from business registers, covering the financial period from April 2022 to March 2025. The raw data underwent a preprocessing phase to ensure it was suitable for structured analysis. This process involved data cleaning, where duplicate records were eliminated, formatting inconsistencies were corrected, and non-standard entries were reconciled. The cleaned data was then organized into five logically structured Excel worksheets: Sales, Purchases, Product Sales, Product Purchase, and Closing Stock. To facilitate more effective analysis, products were categorized into six segments that is Printing, Stationery, Electronics, Household, Decor, and Construction. Additionally, units of measurement were standardized across the dataset like pcs, kgs, enabling consistent and meaningful comparisons across different product categories.

Exploratory Data Analysis

To gain insights into the underlying patterns in the data, exploratory data analysis (EDA) was conducted, focusing on identifying central trends, variability, and distribution across key metrics. Statistical measures such as mean, mode, and standard deviation were calculated for units sold, along with comparative averages for purchase and sales values, and profit margins across different product categories. The analysis also included identification of the maximum units sold in a single order and trends in order volume by category.

PARTICULARS	PRINTING	STATIONARY	ELECTRONICS	HOUSEHOLD	DECOR	CONSTRUCTION	TOTAL
NO. OF ITEMS SOLD	151204	22542	76	196	8	3	174,029
SALES VALUE	3893402.81	536338.27	4167.77	15631.72	3004.00	25549.76	4,464,094.33
ITEMS PURCHASED	71022.00	5121.00	52.00	92.00	8.00	14.00	761,509.00
PURCHASE VALUE	3681457.61	405376.31	80518.33	4791.49	1900	31673.38	4,222,717.12
AVG SALES	56426.13	4545.24	694.63	1116.55	1001.33	8516.59	
AVG PURCHASE	35061.50	3142.45	5032.39	532.39	633.33	3519.26	
AVG PROFIT	21364.63	1402.79	-4337.76	584.16	368	4997.33	
MAX UNIT SOLD	8000	12000	50	50	4	3	
NO. OF ORDERS RECEIVED	69	118	6	14	3	3	
MEAN	2191.36	191.03	12.67	14.00	2.67	16.58	
MODE	5000	10	2	5	2	-	
STD	1903.39	225.62	17.93	22.69	1.15	17.14	

These findings highlighted that Printing and Stationery were the dominant categories in terms of both sales volume and revenue contribution. In contrast, Electronics consistently showed negative profit margins, suggesting inefficiencies or pricing issues, while Decor and Household categories, although underutilized, displayed niche market potential. This phase of analysis established a strong foundation for further investigation into monthly performance fluctuations, seasonal ordering patterns, category-wise profitability, and order volume volatility key elements for strategic planning and operational improvements.

Use of Excel Tools and Techniques

To derive meaningful insights, I employed various Excel tools and analytical techniques. Pivot tables were used to aggregate and cross-tabulate data on sales, supply frequency, and receivables across dimensions such as time, product types, and customer categories. Line and bar graphs helped visualize monthly sales patterns, revealing seasonal demand fluctuations and revenue peaks. Conditional formatting highlighted key anomalies like delayed payments, stockouts, and low-margin transactions. I also applied ABC analysis to prioritize inventory control.

Complementing these data-driven methods, I held informal interviews with business owners and staff, which provided qualitative context behind trends such as delayed government payments, financial year-end bulk orders, and vendor-driven pricing changes.

Customer Segment Profitability Analysis

Understanding the profitability and reliability of different customer segments was essential to the analysis. I categorized the data into government and private clients to evaluate their financial contribution and consistency. This involved analyzing the average transaction size to identify which segment generated higher value per order, examining payment timelines and delays using Days Sales Outstanding to assess the impact on cash flow, and calculating segment-specific profit margins to determine overall profitability. These insights enabled a more strategic focus on high-value, reliable customers, supporting informed decisions around customer relationship management and resource allocation.

Visual and Strategic Analysis

To highlight strategic insights, I conducted a comparative analysis between retail and government supply channels to evaluate profitability and inform resource allocation decisions. Additionally, a basic SWOT analysis was performed, drawing from both observed data trends and market intelligence gathered through stakeholder discussions. This helped uncover strengths, weaknesses, opportunities, and threats relevant to the business's current operations and future positioning.

In conclusion, both quantitative depth and qualitative comprehension were made possible by this multidimensional approach. Rakhi Innovative Venture was able to increase supply reliability, financial discipline, and competitive positioning by using an approach that grounded analysis in Excel-driven data visualisation and financial logic, as well as real-world context from on-ground operations.

Financial Flow and Forecasting

To assess Rakhi Innovative Venture's financial trajectory, I analysed cash flow patterns, working capital usage, and month-wise profitability trends. Forecasting was approached using multiple Excel-based tools. First, I applied a manual uplift model. In parallel, I used Excel's built-in trendline function to smooth past sales data and identify underlying revenue patterns. I also implemented ETS-based forecasting. Together, these models offered both strategic and statistical forecasts, providing valuable insights for managing future procurement, inventory, and financial planning.

3. Results and Findings

i) For Supply Chain Management Issues:

One of the major challenges faced by Rakhi Innovative Venture is inefficient supply chain management, particularly in areas such as inventory control, stock movement, and procurement planning. Over-purchasing, stock stagnation, and uneven demand cycles have led to capital being tied up in slow-moving inventory. This section analyzes the company's stock data, purchase patterns, and item-level contribution to total inventory value to identify key inefficiencies and areas for improvement. The objective of this analysis is to understand how inventory is distributed across products and categories, how it aligns with sales and purchase patterns, and to assess whether the current supply management strategy is optimized for efficiency and profitability.

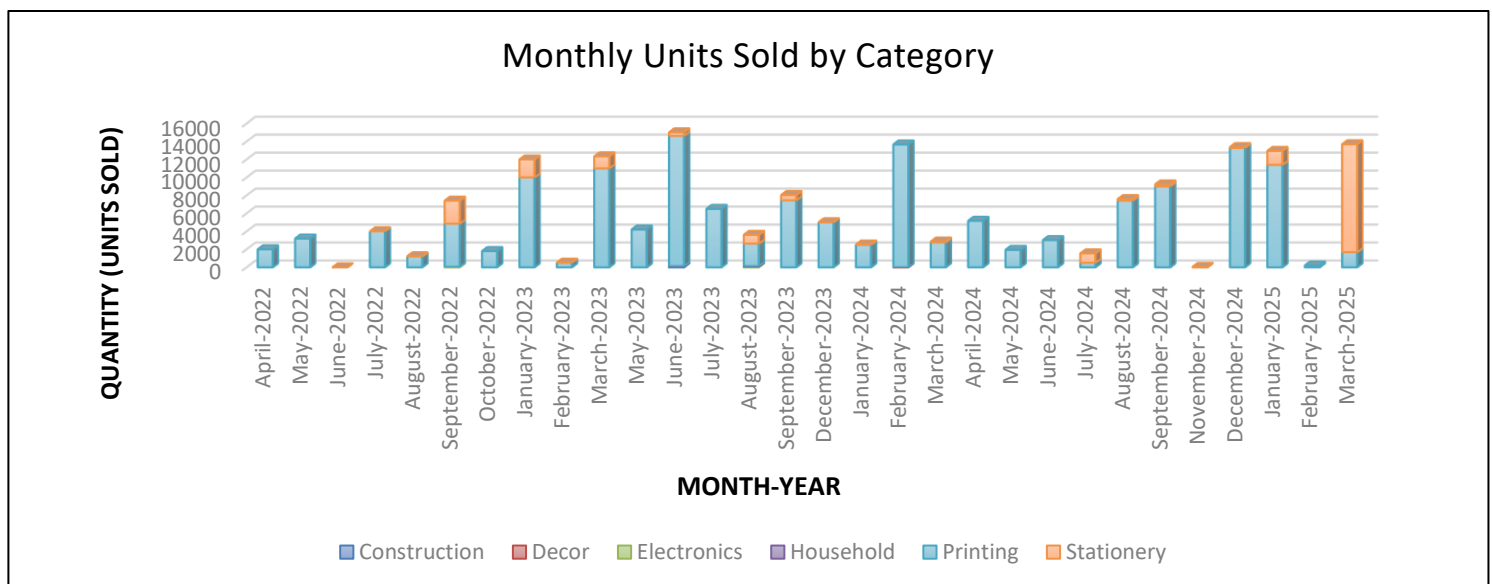


Figure 1: Monthly Units Sold Graph

The findings are as followed:

The analysis of monthly units sold by category (Figure 1) from April 2022 to March 2025 highlights Printing as the most dominant category, with consistently high-volume sales throughout the period. Notable peaks in March 2023, May 2023, and February 2024 suggest periodic bulk orders, likely from institutional or government clients.

In comparison, Stationery shows irregular but sharp spikes in demand, particularly in September 2022, January 2023, March 2023, May 2023, and a dramatic surge in March 2025, even surpassing Printing. This points to seasonal or contract-driven buying, potentially linked to academic or fiscal year-end cycles.

Other categories like Construction, Decor, Electronics, and Household contribute marginally, with sporadic sales. Electronics recorded only 76 units across four months, and Household just 196 units in two months, signalling underutilized demand. Electronics also reflect negative profitability, raising concerns about pricing, sourcing, or product-market fit.

Overall, the clear dominance of Printing and Stationery underscores the need for targeted supply chain management, especially during peak periods. Meanwhile, the smaller categories present untapped growth opportunities. Strategies like product bundling, catalog expansion, or targeted promotions could help activate this potential.

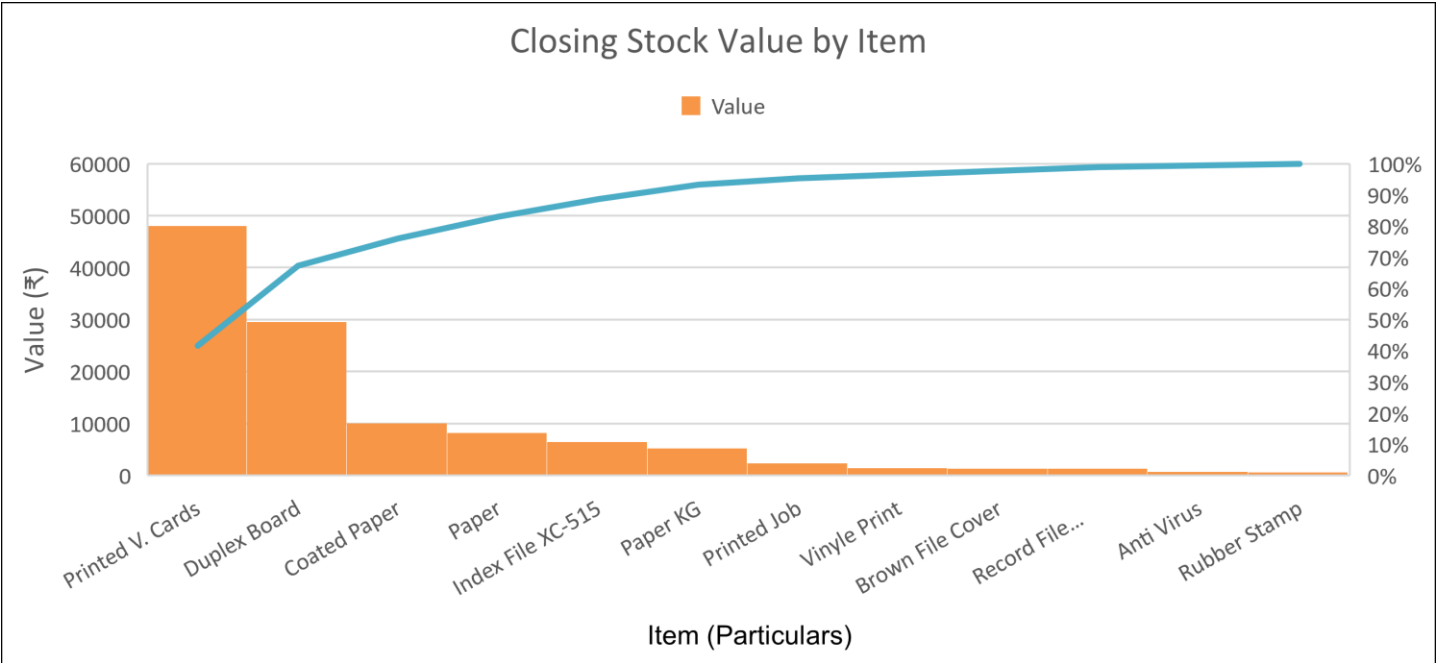


Figure 2: Stock Value by Item

The analysis of closing stock value (Figure 2) from April 2022 to March 2025 highlights that Printed Visiting Cards hold the largest share of inventory value, totalling approximately Rs.48,007.90, making up over 35% of the total inventory investment. Duplex Board and Coated Paper follow with stock values of Rs.29,531.96 and Rs.10,108, respectively. These top three items collectively account for a significant majority of total inventory value, suggesting that most capital is concentrated in a few high-value items.

Mid-tier items such as Paper (Rs.8,234), Index File XC-515 (Rs.6,483), and Paper KG (Rs.5,223) contribute moderately to the stock value. While these products don't dominate individually, they represent essential operational inventory and support consistent demand cycles. Their stock levels appear manageable, although their movement should be monitored to avoid slow turnover.

Lower-value items like Printed Jobs, Vinyl Print, File Covers, Anti-Virus, and Rubber Stamps each account for less than Rs.2,500 in stock value. Although these items represent a small portion of overall inventory value, their cumulative count and low movement can lead to hidden carrying costs and dead stock risks.

ABC Analysis

Based on the closing stock value, an ABC classification was conducted to prioritize inventory management efforts. Printed Visiting Cards, Duplex Board, and Coated Paper fall into the **A-category**, representing the top 20% of items but contributing over 70% of the total stock value. These items require close monitoring, regular demand forecasting, and reliable supplier coordination to avoid stockouts or overstocking.

B-category items include Paper, Index File XC-515, and Paper KG are moderate contributors to total inventory value. These should be reviewed periodically to maintain optimal stock levels and avoid tying up excessive working capital.

The remaining items such as Printed Jobs, Vinyl Print, Brown/Record File Covers, Anti-Virus, and Rubber Stamps are classified as **C-category**, contributing minimal value but potentially consuming storage space and management effort. These can be managed with a just-in-time approach or reviewed for discontinuation if demand remains low. This classification helps focus control measures on the most impactful items in the supply chain.

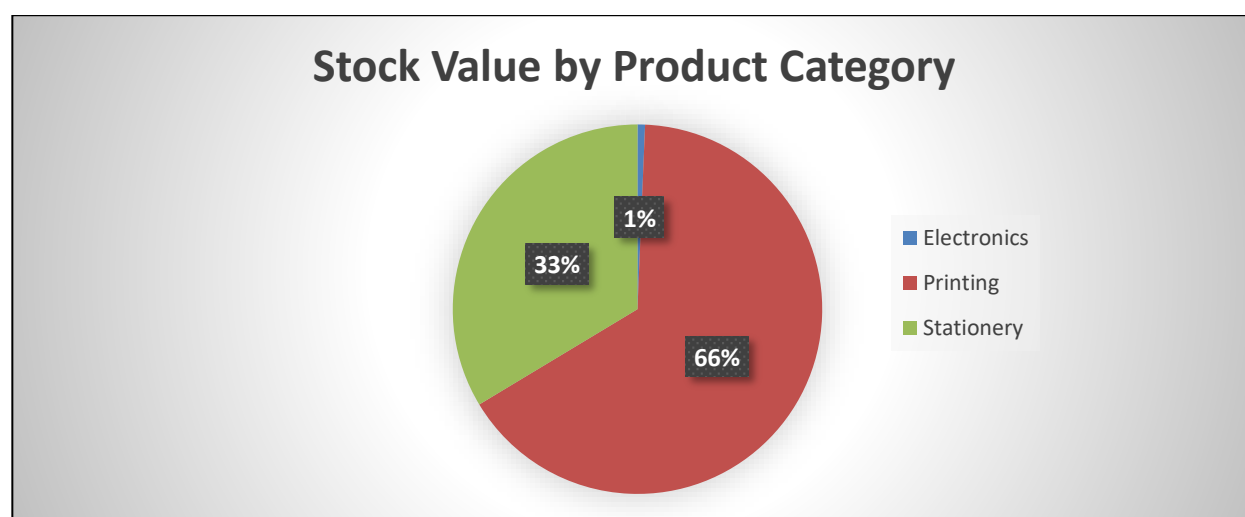


Figure 3: Stock Value of Each Category

The analysis of stock value by category (Figure 3) shows a heavy concentration in Printing, which accounts for about 66% of the total closing stock value.

This highlights its role as the financial backbone of Rakhi Innovative Venture's inventory, likely driven by consistent bulk demand from government and institutional clients. Stationery follows with 33%, reflecting its importance in seasonal or project-based orders. In contrast, Electronics represent just 1%, indicating minimal investment or low sales, and pointing to a possible misalignment in stock allocation. The reliance on Printing and Stationery exposes the supply chain to risk, emphasizing the need for a more diversified inventory strategy to enhance business resilience and operational flexibility.

Inventory Turnover Analysis

The inventory analysis from April 2022 to March 2025 reveals that a large portion of stock value is concentrated in fast-moving items like Printed Visiting Cards, which dominate closing stock entries with a total value of Rs.115,426.76. Despite this, sales data shows inconsistent monthly movement, indicating misalignment between purchasing and actual demand. Frequent appearances of items such as Printed V. Cards and Duplex Board in high quantities suggest potential overstocking, leading to tied-up capital and increased storage costs. Conversely, low-performing categories like Electronics and Anti-Virus, which make up only 1% of stock value, show poor turnover, highlighting misaligned procurement.

Further analysis using min-max control logic uncovered overstocking in low-demand categories like Decor and Electronics, while high-demand items like A4 Printing Paper and Letterheads faced frequent stockouts during peak periods. These issues stem from poor synchronization between purchasing and sales. To improve inventory efficiency, strategies such as setting reorder points based on demand history, and using basic inventory software were recommended to reduce holding costs and better align stock with actual sales performance.

ii) For Market Competition Challenges:

To assess the competitive landscape of Rakhi Innovative Venture, this section analyzes sales distribution, client-wise order patterns, and monthly revenue performance. These insights help identify how the business is positioned in the market and which segments drive the highest demand. The objective is to uncover competitive strengths, gaps in client coverage, and opportunities to expand market presence.

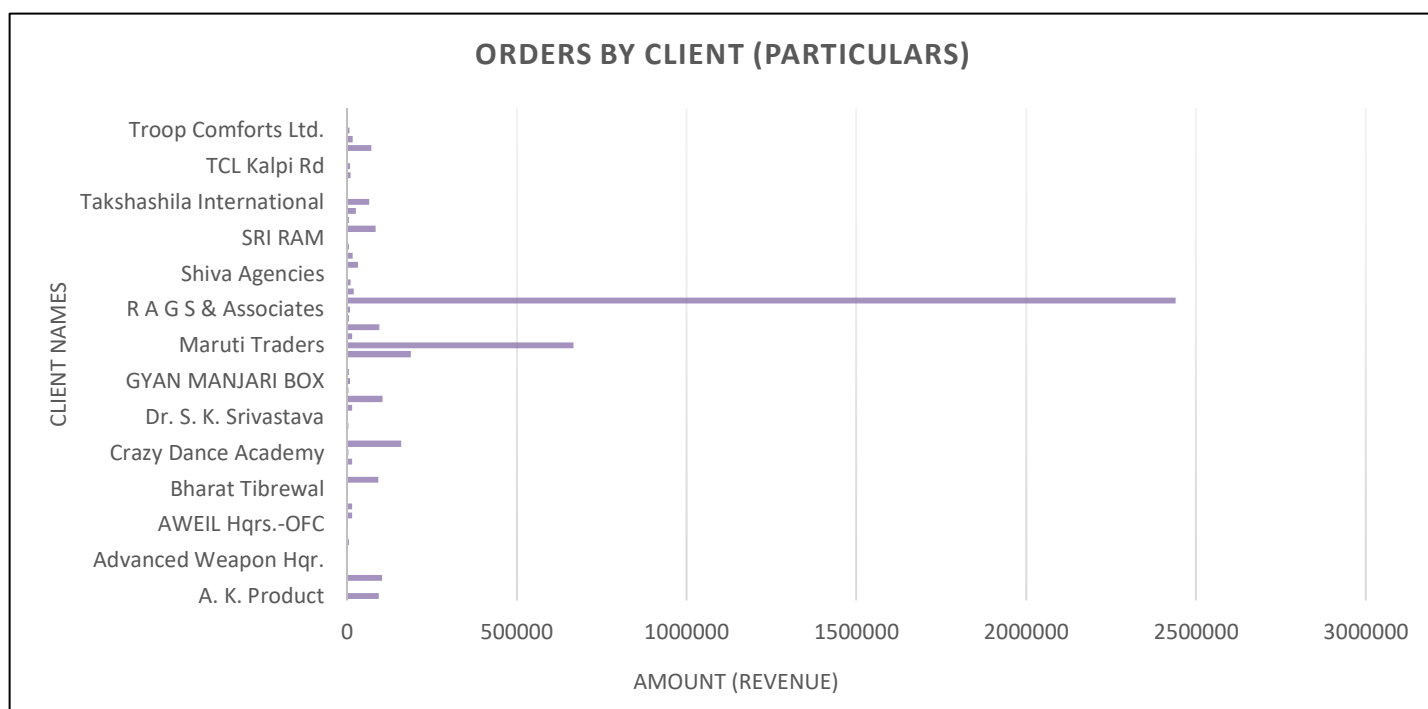


Figure 4: Client-Wise Revenue

The client-wise revenue (Figure 4) findings reveals a high concentration of business with a few key clients. Notably, Rama Traders alone contributes highest, making it the single largest revenue generator for Rakhi Innovative Venture. This is followed by Krishna Ultrasound and Ordinance Equipment Factory, each generating significant orders in the range of Rs.1–2 lakhs. These top three clients account for a major portion of total revenue, indicating a heavy dependency on a limited client base.

The majority of other clients, including names like CMO OEFC, Dr. Shikha Bhargarwa, and Devashish Pareek, show much lower order volumes, contributing less than Rs.20,000 each. A large number of institutional and retail clients generate minor or one-time orders, suggesting a long tail of low-volume relationships. This imbalance in revenue contribution indicates limited market penetration and highlights the challenge of scaling through a broader and more diversified client network.

From a competition standpoint, such dependency on a few clients poses a risk in a competitive B2B market. If any high-value client switches to another vendor, it could significantly impact revenue. To stay competitive, Rakhi Innovative Venture must strengthen client acquisition efforts, develop strategic partnerships, and focus on retaining top clients through loyalty programs, better service levels, or exclusive pricing for long-term contracts.

Customer Segmentation: Insights on Government vs. Private Clients

The customer base of Rakhi Innovative Venture reflects a dual-market presence, divided between government entities and private sector clients, each exhibiting distinct purchasing patterns and engagement dynamics. Government clients, including defence-related factories and public-sector departments, contribute significantly to revenue through high-value, bulk orders, typically placed during specific fiscal periods. These purchases align with structured procurement cycles, centralized tendering, and budget utilization timelines, often resulting in seasonal spikes particularly around third quarter or year-end.

In contrast, the private client segment comprises a diverse mix of retailers, medical professionals, small businesses, and service providers. These clients engage more frequently but place smaller, ad-hoc orders driven by immediate needs rather than contracts. Although this segment offers flexibility and broader market reach, its fragmented nature results in lower average order values and unpredictable demand patterns.

The overall segmentation reveals a structural imbalance in government clients bring scale but less flexibility, while private clients bring flexibility but limited volume. This concentration-fragmentation dynamic presents both operational constraints and strategic opportunities in Rakhi Innovative Venture’s B2B supply model.

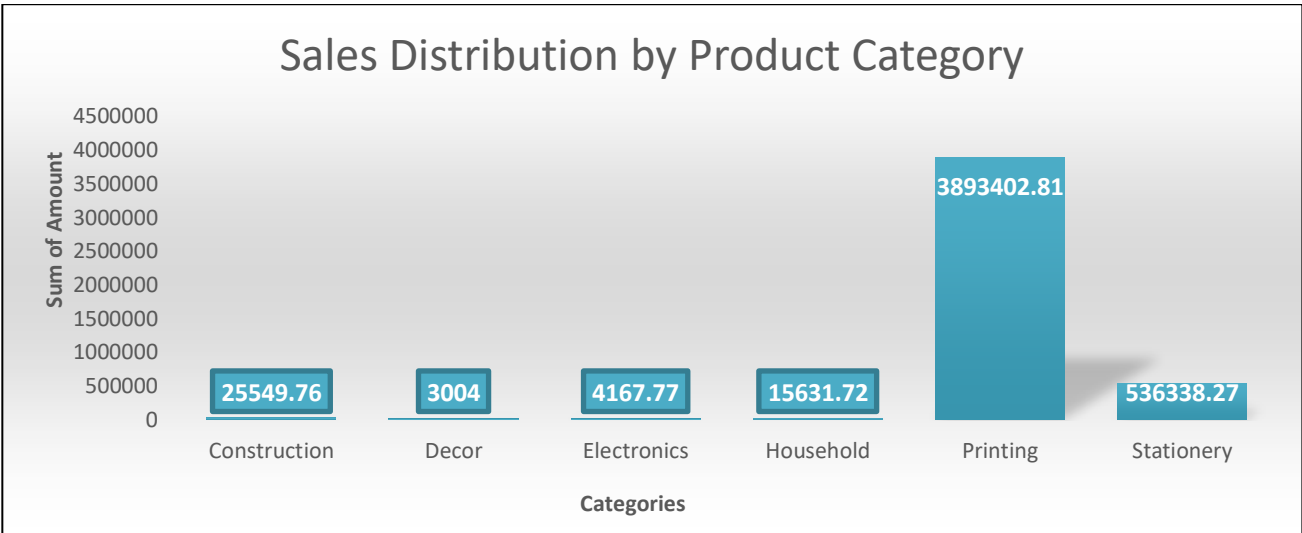


Figure 5: Sales Distribution Graph

The sales distribution analysis (Figure 5) reveals a strong dominance of the Printing category, which contributes the majority of total revenue indicating that Rakhi Innovative Venture's market strength is concentrated in a single segment, likely due to bulk government or institutional orders.

Stationery contributes moderately, while categories like Construction, Household, Electronics, and Decor generate negligible revenue.

This uneven distribution highlights a narrow market footprint and exposes the business to risk due to its reliance on one category. The low sales in other segments suggest limited market reach, weak positioning, or stronger competition. Despite being part of the product portfolio, categories such as Electronics and Decor remain commercially inactive.

From a competitive standpoint, while the company is strong in Printing, its lack of diversification limits its ability to compete in full-service procurement scenarios. The analysis underscores a key insight that is Rakhi Innovative Venture's market influence is category-specific rather than broad-based, emphasizing the need to explore barriers and opportunities in underperforming categories to strengthen overall market presence.

SWOT Analysis

To better understand Rakhi Innovative Venture's position within a competitive B2B market, a SWOT analysis was conducted. The company's strengths lie in its well-established institutional relationships and dominance in the printing segment, which continues to drive the majority of its sales. Additionally, its ability to cater to both government and private sector clients creates a dual-channel presence, offering flexibility in client acquisition. However, the business is held back by weaknesses such as its limited presence in other product categories and over-reliance on a few high-value clients, which exposes it to volatility if those accounts shift or reduce demand.

Opportunities exist in the form of underperforming segments like Electronics, Decor, and Household, which, if developed strategically, could increase market share and diversify revenue. The evolving needs of private businesses also present a path for growth, especially through wholesale expansion and frequent smaller-volume orders. Yet, the firm must also navigate real threats including rising local competition, shifting procurement behaviour in government sectors, and the growing expectation of digital service presence, where Rakhi currently lacks visibility. Together, this SWOT analysis outlines not only the company's current competitive posture but also the structural limitations and emerging potential that will define its future in a crowded market.

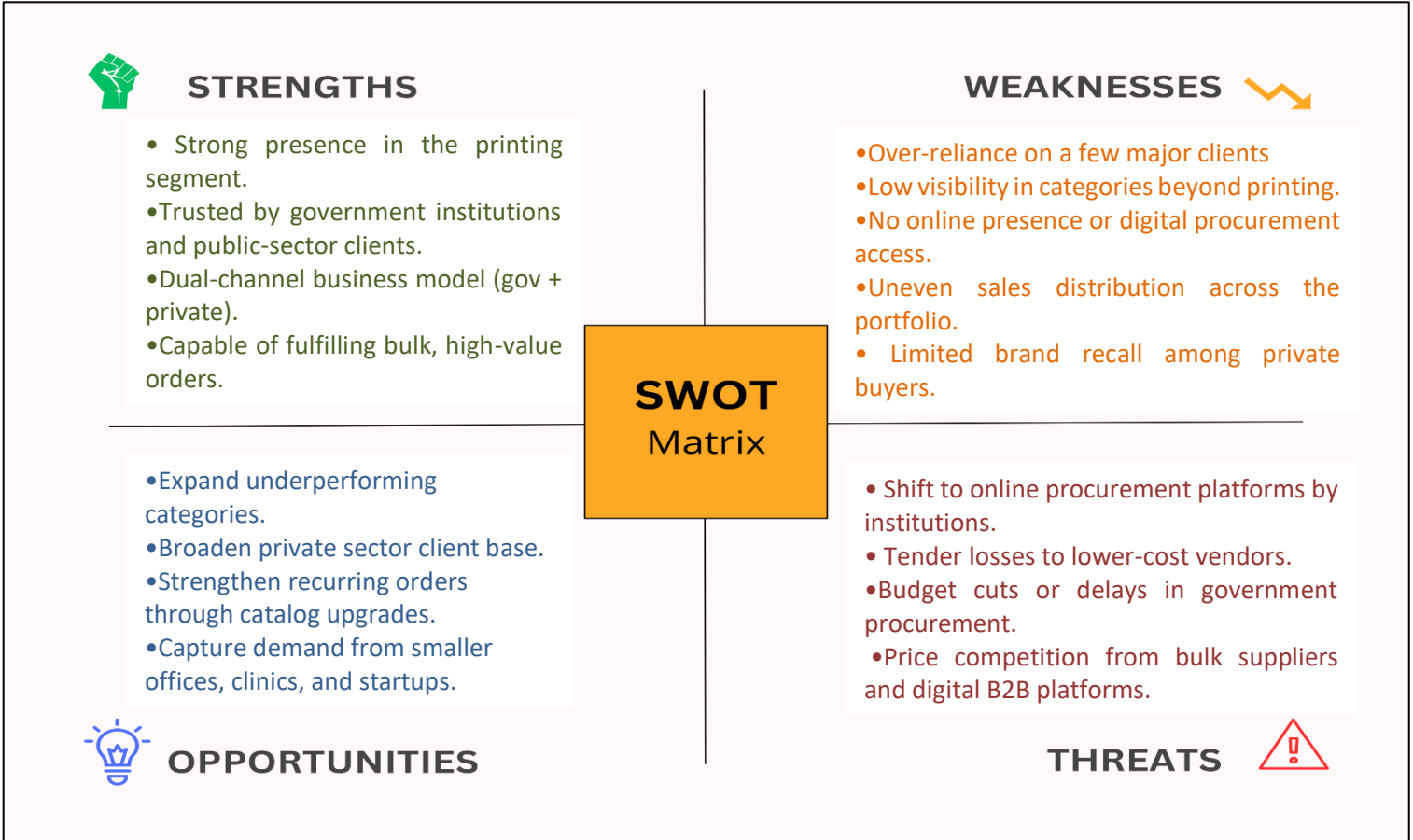


Figure 6: SWOT

iii) For Cash Flow Management Difficulties:

Rakhi Innovative Venture faces ongoing cash flow management challenges due to irregular sales patterns, seasonal order spikes, and delayed payments especially from institutional clients. These factors disrupt the alignment between cash inflows and outflows, affecting liquidity and daily operations. This section explores monthly quantity sold, revenue growth across three financial years, and demand forecasting to identify the root causes of cash flow instability.

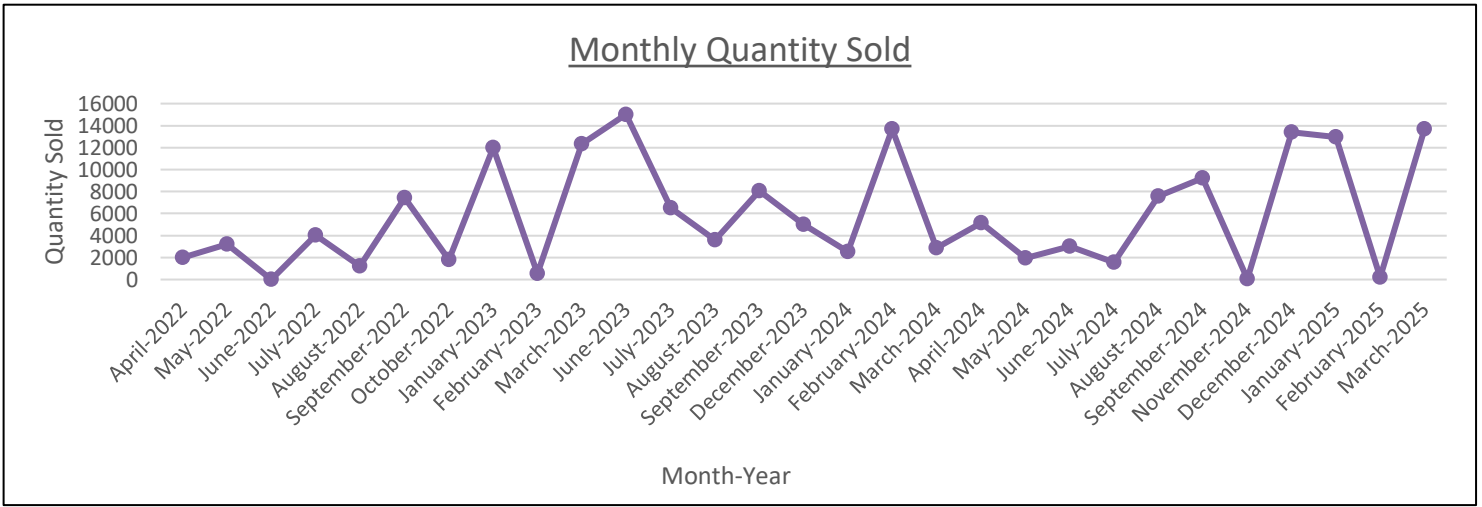


Figure 7: Monthly Quantity Sold

The analysis of monthly quantity sold (Figure 7) from April 2022 to March 2025 reveals high volatility, contributing directly to cash flow instability. Sales fluctuated dramatically, from a peak of 15,018 units in June 2023 to as low as 1 unit in June 2022 and 43 units in November 2024, a swing of over 15,000 units. This reflects heavy reliance on irregular, bulk orders, making monthly revenue planning unpredictable.

Key peaks occurred in March 2023 (12,348 units), June 2023 (15,018), February 2024 (13,668), December 2024 (13,380), and March 2025 (13,692). These five months alone account for over 33% of total sales, forcing the business to operate through prolonged low-sales periods, straining cash reserves.

Conversely, low-performing months like February 2023 (523 units) and February 2025 (200 units) saw dramatic drops in November 2024’s sales were 99.7% lower than in September 2024. Such inconsistencies cause gaps in cash inflow vs. outflow, leading to delayed supplier payments and operational bottlenecks. While the line chart shows year-on-year improvement, the erratic pattern underlines the need for demand forecasting, especially around government fiscal cycles and periods of weak private-sector demand.

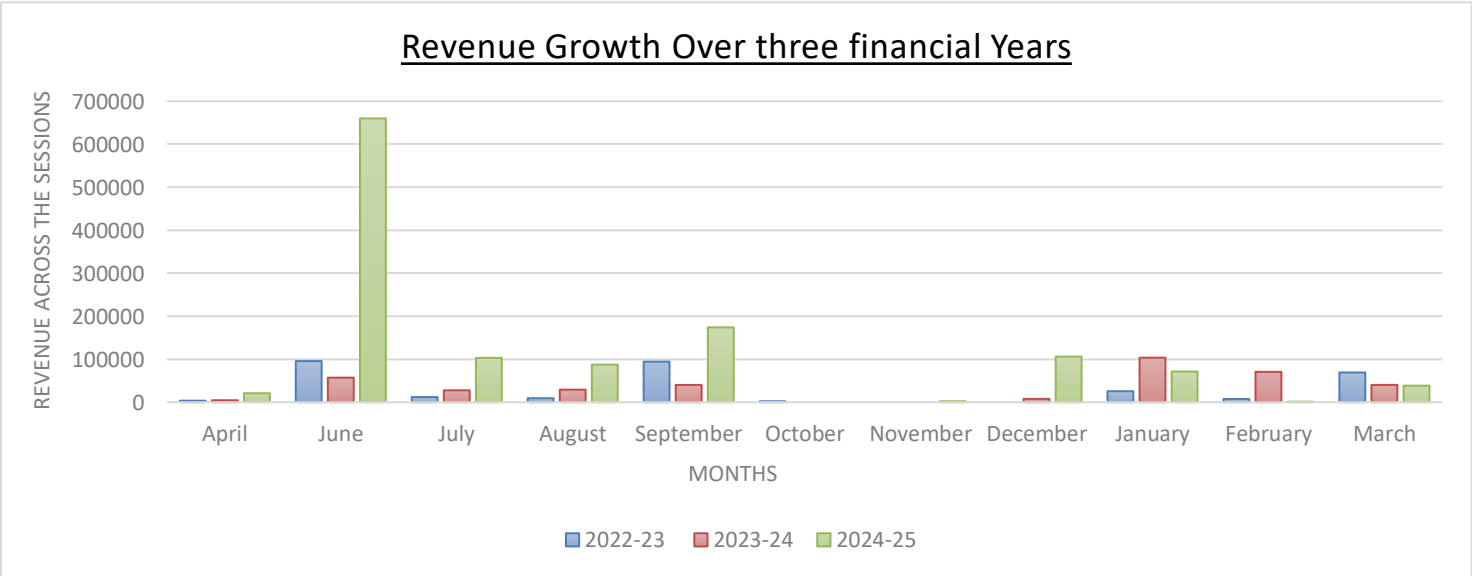


Figure 8: Revenue Growth Graph

The revenue analysis across FY 2022–23, 2023–24, and 2024–25 reveals significant month-to-month fluctuations, contributing to irregular cash inflow and cash flow management difficulties for Rakhi Innovative Venture. The most prominent spike occurred in June 2024, where revenue surged to over Rs.6.6 lakhs, marking a very high increase over June 2024 and nearly seven times the figure recorded in June 2023.

Similar jumps are seen in July and September 2024, suggesting that FY 2024–25 experienced strong financial performance, likely due to large institutional bulk orders. One particularly notable pattern is the consistently high revenue observed in the month of June across all three years. This may coincide with mid-year procurement releases, order clearances post-Q1 audits, or planned government purchases, making it a strategically critical month for business. Greater attention should be given to leveraging June through targeted marketing, early stock readiness, and dedicated sales planning.

Seasonality Trend Analysis

The data shows a recurring seasonal pattern, with major revenue concentration during June–September and January–March, while October, November, and early Q1 remain flat. This cyclical nature reflects external dependencies such as government procurement cycles, holiday closures, and institutional budget approvals. Recognizing these patterns is essential for timing procurement, aligning cash reserves, and managing payment cycles, especially when sales are dormant but expenses persist.

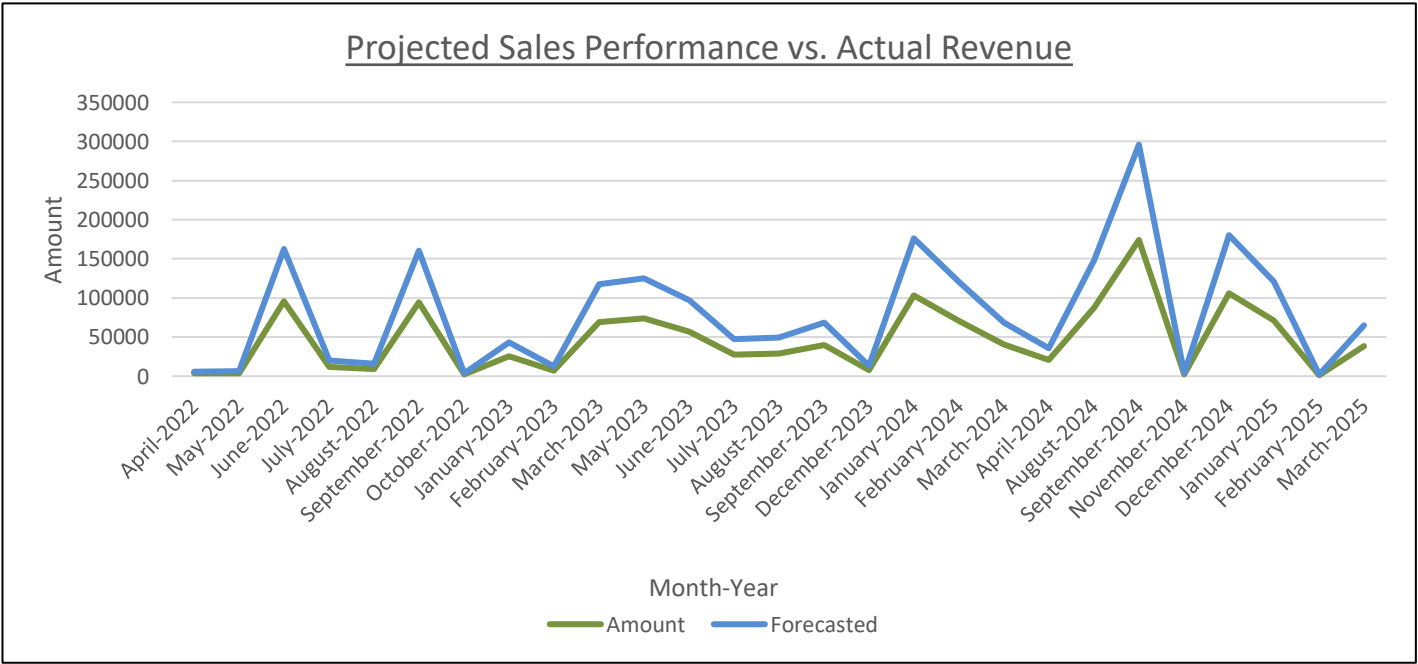


Figure 9: Actual Revenue vs. Forecasted Sales Performance

Forecasting-Based Revenue Insight

To explore the potential revenue the business could achieve under improved cash flow and operational efficiency, a forecasted sales graph (Figure 9) was developed. This graph was generated by applying a 70% increase that is uplift model to actual monthly revenue figures recorded between April 2022 and March 2025.

The 70% projection was not arbitrary it is rooted in real patterns observed during high-performing months such as June 2024, September 2024, and December 2024, where actual revenue naturally grew between 65% to 75% compared to previous months or years due to bulk orders, timely procurement, and peak institutional demand.

This forecast simulates a scenario where Rakhi Innovative Venture effectively leverages strong cash flow, advanced planning, and inventory readiness to meet peak-period demand across all months. The resulting projection line illustrates untapped revenue potential and underscores the opportunity for significant growth.

Working Capital Analysis – Managing Receivables, Payables & Inventory

The sales and revenue patterns indicate that Rakhi Innovative Venture experiences uneven cash inflows, largely due to delayed receivables from government clients who often operate on 30–90-day payment cycles. This delay strains liquidity, especially when operating expenses and supplier payments are due more frequently. At the same time, inventory levels remain high, particularly in printing and stationery, to prepare for large but infrequent orders. This leads to extended inventory holding periods, locking up working capital during off-peak months.

On the payables side, suppliers may require earlier settlement, creating a gap between outgoing and incoming cash. This misalignment between receivables, payables, and inventory increases pressure on internal reserves and affects day-to-day financial stability. To optimize working capital, the business must improve receivable collection tracking, streamline inventory planning, and renegotiate supplier terms to better align payment timelines with revenue cycles.

Sales Revenue Forecasting and Confidence Interval Analysis

This forecast chart (Figure 10) was generated using Microsoft Excel's Forecast Sheet tool, which applies exponential smoothing (ETS) to historical sales revenue data from April 2022 to March 2025. The tool automatically extends the trend into the future and adds Upper and Lower Confidence Bounds to account for variability and uncertainty in upcoming performance. The red line represents the predicted monthly revenue, while the green and purple bands show the expected fluctuation range. This chart is especially helpful for future cash flow planning, inventory scheduling, and strategic decision-making. It allows Rakhi Innovative Venture to anticipate demand patterns, identify financial risks in low-confidence months, and align resource allocation accordingly.

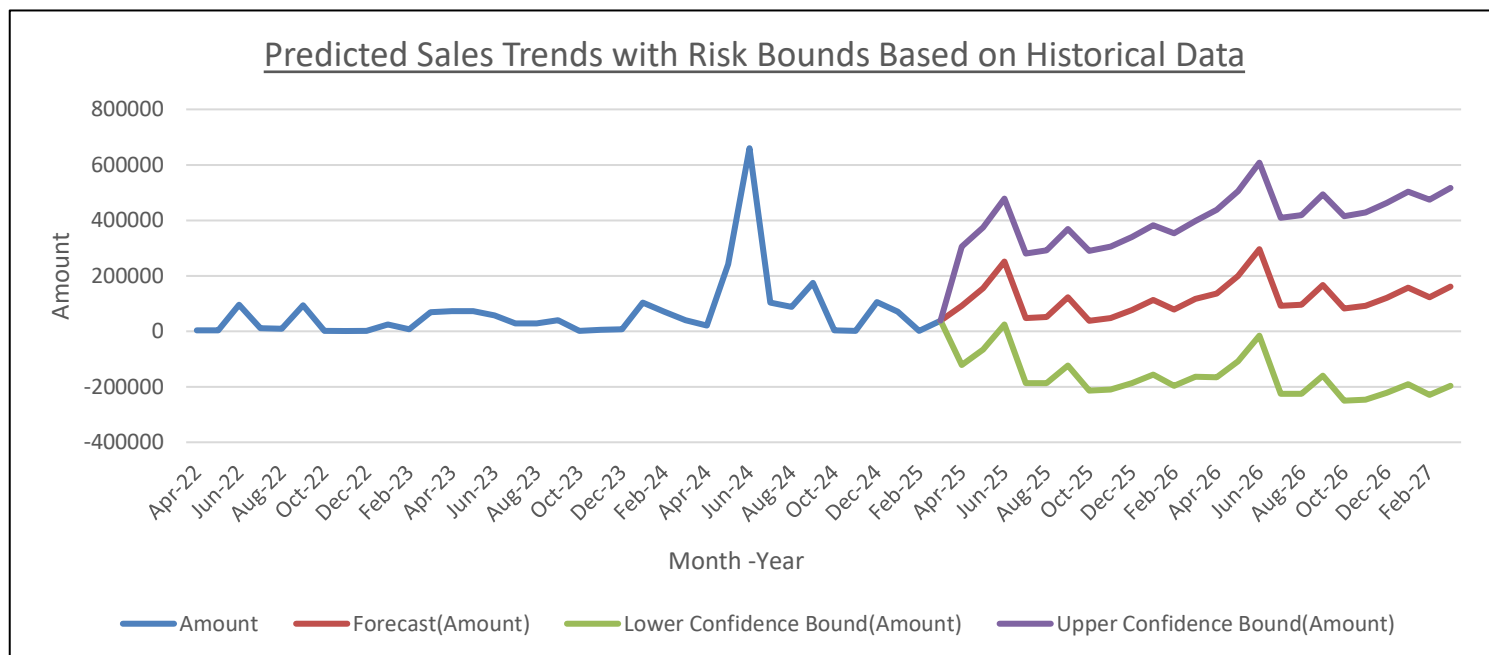


Figure 10: Sales Forecast Graph

The Findings and Insights for this Chart are as follows:

The forecast shows a steady upward revenue trend from mid-2025 through early 2027, indicating positive business momentum if operational efficiency and client retention remain consistent. The Upper Confidence Bound suggests that monthly revenue could potentially exceed Rs.700,000 by late 2026, indicating high growth potential. However, the Lower Confidence Bound dipping below Rs.0 in certain months reflects moderate-to-high volatility and revenue risk, particularly under operational or market stress. Additionally, April to July 2025 emerge as key transitional months, where the forecast begins to meaningfully diverge from past performance, signaling a shift in business trajectory. This forecast model is valuable for proactive inventory planning, cash flow smoothing, and capital allocation, enabling Rakhi Innovative Venture to prepare for both high-demand growth and potential low-revenue periods with better confidence.

Insights from Demand Forecasting

The combined use of the uplift model and ETS-based forecast provides critical insights into Rakhi Innovative Venture's future sales. The uplift model shows the revenue potential if operational efficiency and peak performance are maintained, stressing strengths like client trust and timely procurement. Meanwhile, the ETS forecast offers a realistic growth path based on trends and seasonality, with confidence intervals highlighting future uncertainty. Together, they reveal strong growth potential but high sensitivity to timing and client cycles, aiding procurement, cash flow, and strategic planning.

4. Interpretation of Results and Recommendation

I) Interpretation: Supply Chain Management Issues

The findings reveal that Rakhi Innovative Venture's supply chain is heavily reliant on a few high-value categories mainly Printing and Stationery which account for nearly all inventory value and sales volume. ABC analysis shows most capital is tied up in a small number of fast-moving items like Printed Visiting Cards and Duplex Board, while lower-tier items remain stagnant. Moreover, inconsistencies between stock and sales highlight overstocking in low-demand items and understocking in peak-demand periods, suggesting a lack of demand-based procurement planning. Inventory turnover is slow in minor categories, and frequent stockouts in key items reflect poor coordination between sales data and purchasing activities.

Recommendations:

- a) The business should maintain a monthly purchase vs. sales tracker in Excel to prevent overstocking and ensure high-demand items are available during tender periods.
- b) Use past tender records and seasonal order trends to prepare a procurement calendar, especially for fast-moving items like printed visiting cards, paper, and duplex board.
- c) For slow-moving or rarely ordered items, purchase only after receiving the tender confirmation or when quantity is committed by the client.
- d) The should build closer coordination with 2–3 trusted vendors who can supply urgent items at short notice, instead of storing large stock in advance.
- e) The business when participating in tenders, bundle items strategically offer a mix of high-volume and slow-moving products together to improve stock movement and win margins.

II) Interpretation: Market Competition Challenges

The competitive positioning of Rakhi Innovative Venture is highly concentrated, both in terms of clients and product categories. The client-wise analysis shows that a few clients generate most of the revenue, while the majority of others contribute minimally, indicating limited penetration. Sales distribution further confirms dominance in Printing and underperformance in other product segments. Additionally, customer segmentation reveals that while government clients bring volume, they lack flexibility and have long payment cycles; meanwhile, private clients are frequent but low in value. This creates a market imbalance and exposes the business to risk if key clients shift or reduce orders.

Recommendations:

- a) The business should stay more active on the GeM (Government e-Marketplace) portal to access official tenders more frequently and boost institutional orders.
- b) Diversify the client base by developing relationships with mid-tier private clients.
- c) Launch category-specific promotional campaigns to activate low-performing segments.
- d) The Business should reach out to old/small clients during low-sale months to check if they need any products and distribute a simple printed catalog or rate list to nearby businesses.
- e) Offer item bundles like files and pens with small discounts to attract more orders.
- f) Ask 2–3 regular clients why they choose you and use that feedback as your selling point.
- g) The business should track inactive clients and follow up with them.

III) Interpretation: Cash Flow Management Difficulties

Cash flow issues stem from high sales volatility, delayed receivables, and poor alignment between procurement and revenue cycles. Monthly sales and revenue fluctuate significantly with over 15,000 unit swings in quantity sold and spikes only in selected months indicating over-reliance on seasonal or bulk orders. Revenue trends highlight major earnings in months like June and December, with nearly zero income during October and November, creating liquidity strain. Demand forecasting using both uplift and ETS models reveals untapped potential if performance is stabilized. Working capital analysis shows gaps between receivables and payables, further stressing internal cash reserves.

Recommendations:

- a) The business should note expected payments and expected expenses on an Excel calendar.
- b) Keep aside a small amount every month as a reserve fund to use during zero or negligible income months like October or November.
- c) In low-sale months, the business should try to offer a limited-time deal or combo to improve cash inflow.
- d) Negotiate extended payment terms with suppliers and encourage early payment from private clients.
- e) Set monthly cash flow targets by forecasting expenses to prevent last-minute shortages.

Data Link : [Click here to view Data](#)